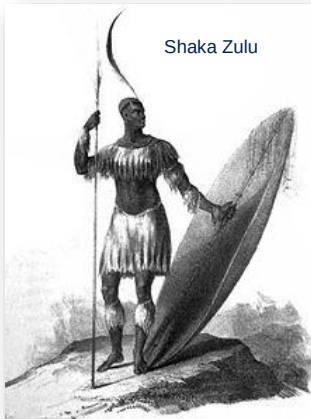


Business Warfare



Department of Management Studies
Indian Institute of Technology Madras

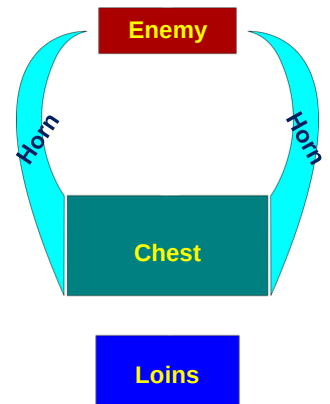
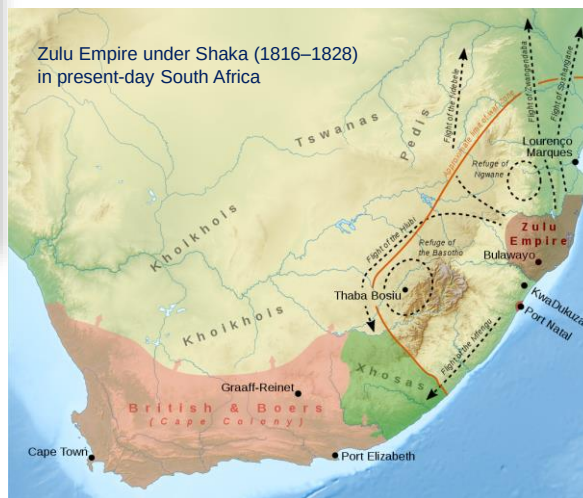
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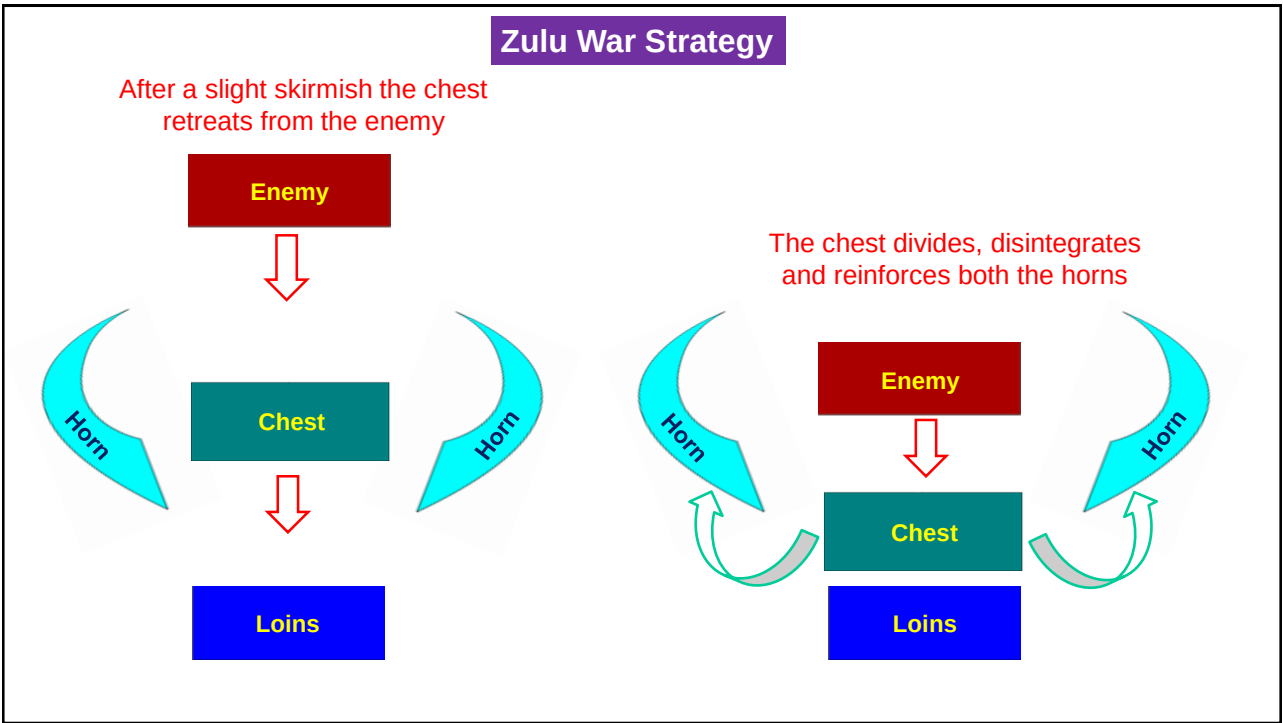
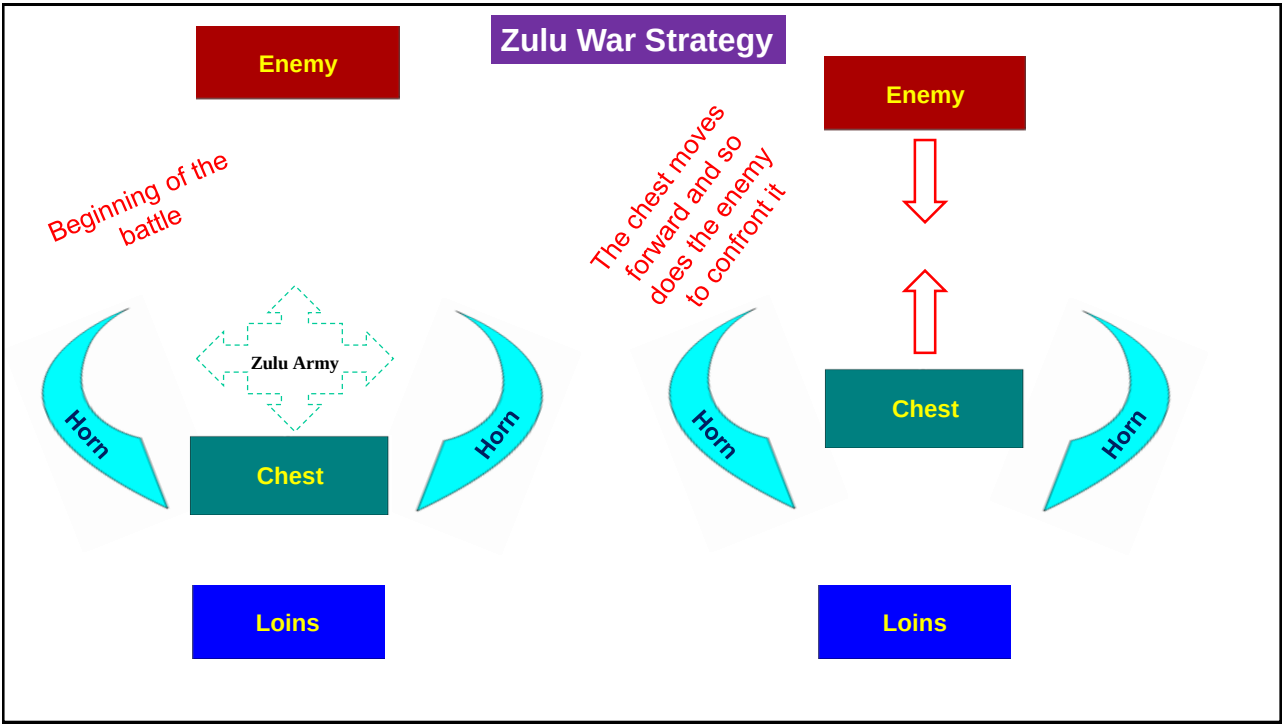
Shaka Zulu

Zulu Kingdom

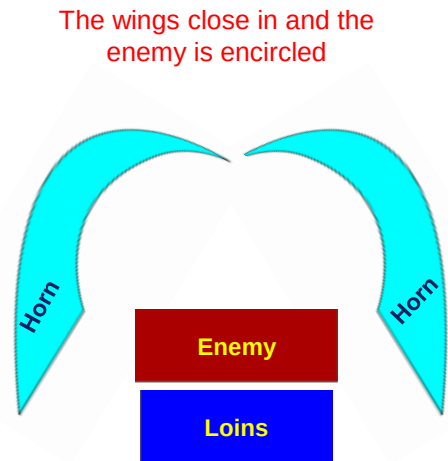
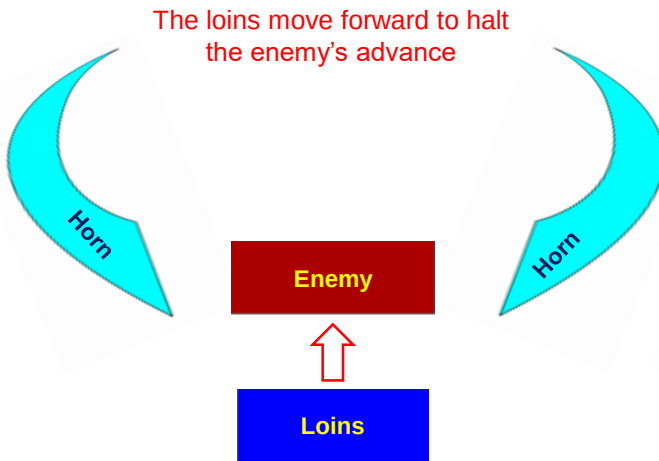
*Shaka Zulu (1787-1828) was the King of the Zulu Kingdom.
Most influential monarch responsible for re-organizing the Zulu military
into a formidable force via a series of wide-reaching and influential reforms.*



**Zulu Army:
Buffalo Horns formation**

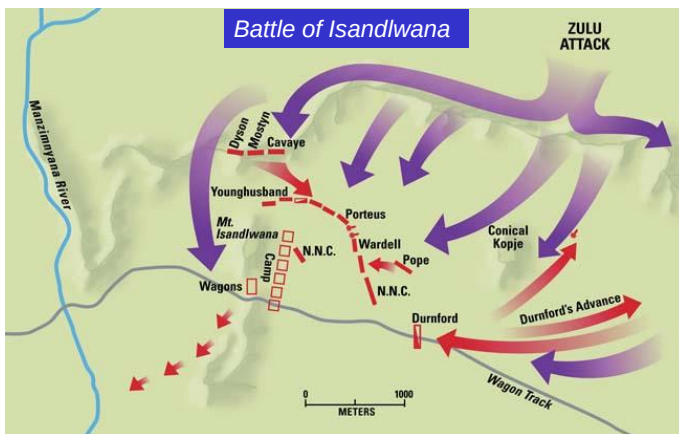


Zulu War Strategy



Anglo-Zulu Wars

Battles of Isandlwana and Rorke's Drift (1879): The army of the Zulu king Cetshwayo routed Lord Chelmsford's invading force at Isandlwana, which was followed by the heroic defence of Rorke's Drift by a hugely outnumbered unit.



Lessons for Business

Implications ⇨	Strategy	Tactics	Time Dimension
Four Lessons ↓	WHERE (what/which location)	HOW	WHEN
I. Competitor Intelligence: 1. Plans (objectives) 2. Characteristics (strengths & weaknesses)	☑	☑	☑
II. Focus	☑	☑	
III. Choice of Terrain	☑		
IV. Element of Surprise			☑
Key: ☑ indicates what a given area of information can be used for			

Lessons for Business (1/4)

Competitor Intelligence

Competitor Intelligence focuses on: Plans (objectives) of competitors and their strengths & weaknesses

Hewlett Packard (HP) vs Texas Instruments (TI):

TI would cut the prices aggressively in anticipation of the volume benefits of learning curve economics.

HP made high quality products at premium instead (such as scientific calculator)



PepsiCo vs P&G:

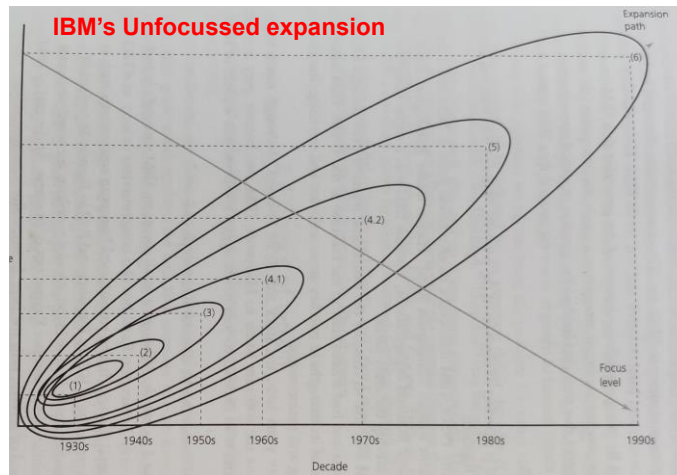
Frito-Lay outcompeted Pringles (P&G) by understanding its weakness (lack of natural ingredients and taste)

Lessons for Business (2/4)

Focus

Peter Drucker: "The difference between successful and unsuccessful diversified companies is that the former have a core of unity, be it technology or market."

- (6) Ancillary Business (consulting)
 - Strategic/Technical
 - Professional/Financial
- (5) Information Processing Segments
 - Telephone equipment
 - Satellites
 - Copiers
- (4.2) Computer Software & Support
 - Applications/Database/Networking
- (4.1) All Types of Hardware
 - Mini-/Micro-Computers, Superminis
- (3) Mainframes
- (2) Supercomputers
- (1) Typewriters



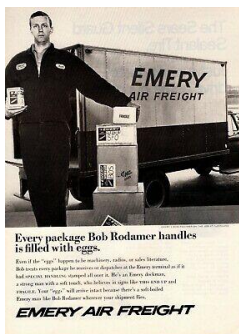
Lessons for Business (3/4)

Choice of Terrain

*Choose a terrain with favourable characteristics in business, which is adequate to your strengths.
Choose your conditions. Change the terms of engagement.*

Federal Express vs Emery Air Freight (larger and more profitable):

Fedex had its own planes and trucks, and a unique hub-and-spoke distribution system.
It fought on a different terrain – not in price, convenience, or package size, but on speed.
It created overnight service



UPS tracking: "Your package is in X City, USA on a truck driven by Bob and will be at your door at 2:37pm"

FedEx: "Your package is somewhere. You'll get it when we give it to you"

USPS: "What package?"

Amazon: "We are inside your apartment."

Lessons for Business (4/4)

Surprise

*Greater the surprise, the longer it will take the competitor to react and try to recover.
The most successful moves are the ones that are completely unexpected.*

Johnson & Johnson vs Bristol-Meyers:

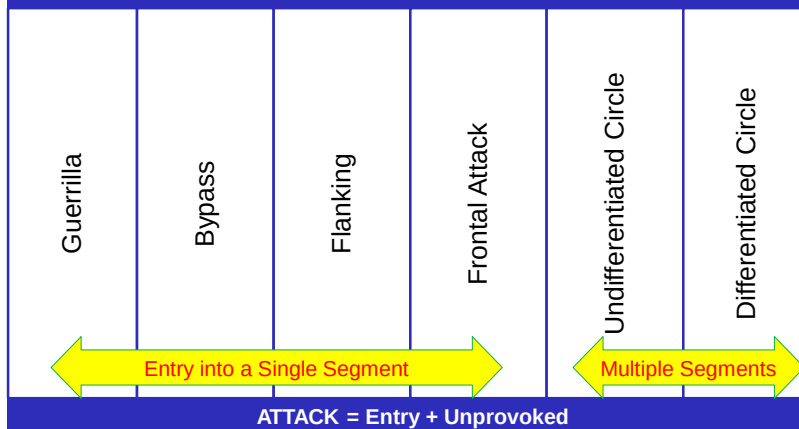
- Datril directly attacked Tylenol (J&J), by producing a chemically equivalent at a lower price.
- B-M launched the national advt campaign: "Datril same as Tylenol, but 10% cheaper"
- On the eve of the launch day, J&J sent a credit note to all its retailers for 10% of Tylenol value, and instructed them to reduce the price of the product to consumers accordingly.
- Datril was dead in the tracks as it was taken by surprise..



Attack: Six Strategic Moves

ATTACK (refers to going into something new):

- ✂ A new industry in the same geographical area
- ✂ The same industry in a new geographical area
- ✂ A new industry in a new geographical area



The Concept of Attack

Markets

Geographical area? ⇨ Industry? ↓	New	Old (same as in present)		
New	↖ Attack	⇒		
Old (same as in present)	↓	Segment within industry ⇨ Reason ↓	New	Old (same as in present)
		Our Initiative (search for profits or synergy)	Attack	
		Reaction to a competitor's move		Defense

Pizza Hut: Strategic Positioning

Sit-ins		Takeaways	Home delivery
High quality service (good menu, extensive wine list and high price)	Low price and fast service		
0%	80%	20%	0%

Pizza Hut turnover in each segment

Pizza Hut
positioning in
first
neighbourhood

Non-Pizza			Pizza			
Low price		Luxury (top quality and service)	Sit-ins		Takeaways	Home delivery
Other	Ethnic (Indian, Near East)		High quality and service (menu, wine, high price)	Low price and fast service		
					70%	18%
					Pizza Hut	12%
Bypass	Bypass	Guerrilla	Bypass	Frontal	Flanking	Flanking

Pizza Hut
positioning in
second
neighbourhood

Our New Restaurant

Guerrilla Attack

Attack-1

Guerrilla strategy can be used when the largest firms of the industry ('rule of three') are not in the segment, and there is very low substitutability between the segment where the largest firms are present, and where they are not.

TYPES	EXAMPLES
Product Guerrillas	Rent-a-wreck (used cars) vs Avis and Hertz
Client Guerrillas	Inc (small biz) vs Fortune, Forbes, and Business Week
Need Guerrillas	Sorels (snow boots) vs Kangaroos (jogging shoes)
Location Guerrillas (geography, channels, time)	Chicago Business attacks Business Week and Fortune by focussing solely on Chicago

Guerrilla Strategy: Strategic Square

Attack-1

1. PRODUCT/SERVICE

- 1.1 Core
- 1.2 Secondary aspects
(package, design, size...)
- 1.3 Technology
- 1.4 Delivery (speed/quantity)

- 4. LOCATION:**
- 4.1 Geographical area
 - 4.2 Distribution Channel
 - 4.3 Time (hrs/days)

2. CLIENT

3. NEED

Nine Steps to Create a Guerrilla

Attack-1

Steps	Description	Rationale
I	Use all sides of the strategic square	Guerrillas can be product, client, need or location based
II	Search for differentiation and symbiosis	Both originate guerrillas in any of the four sides of the strategic square
III	Select those segments generated in steps 1 and 2 that are guerrillas for all the three of the largest firms (not just largest 1 st or 2 nd)	The segment is further away from the industry zone dominated by all the three larger firms
IV	Evaluate each guerrilla segment in terms of: 1. Do we have the required skills 2. Is the segment synergistic with our present operations? 3. Attractiveness (growth, margin and unit sales)	'Quality of the segment' (money making potential)
V	Small numbers in demand (not low unit margin)	Unnatural habits for large firms
VI	Small numbers in supply	
VII	If possible select a segment where you are first	To gain first move advantage
VIII	Lay low	Calling attention to yourself would give the opposition an advantage
IX	Reinforce one type of guerrilla with another	Enable growth

Bypass Strategy

Attack-2

*Bypass attack is upon a (market) area where competition is not present.
Our presence in that area alarms or even disrupts competition.*

TYPES	EXAMPLES
Product	DEC* (minicomputers) vs IBM (mainframes)
Client	Rent-a-car (insurance replacement market) vs Airport Giants
Need	Michelob Beer* (weekends) vs Miller (blue collars)
Location (geography, channels, time)	French distribution chain Intermarche places supermarkets outside and around major cities (but not within) Domino's Pizza (home delivery) vs Pizza Hut (physical location)

* Now defunct

Twelve Steps to Create a Bypass

Attack-2

Steps	Description	Rationale
I	Our segment should have lower unit margin than that of the leader's segments	If the industry leader blocks our entry it will cannibalize its sales and profits
II	Similar or inferior growth rates	Enhances leader's hesitation
III	Bypass to segment where the leader's position is weaker	If the leader blocks, it will weaken its centre
IV	Greatest synergy	To facilitate both that segment's defense and future entry into others of the industry
V	Be the first	First-move advantage
VI	Try all four sides of the magic square	Bypasses can be product, client, need or location
VII	Give special attention to location (geographical areas, distribution channels and time)	Usually a great source of bypasses
VIII	Select the segment that is a bypass to more rather than fewer leaders	Disturbs fewer industry leaders
IX	Small numbers in supply	Unnatural habitat for large firms
X	Choose best segment in terms of: (1) Do we have the required skills; (2) How attractive is it (in terms of the sales volume growth rate and unit margin)?	Quality of the segment
XI	Lay low	Not calling attention to yourself creates a tactical advantage
XII	Reinforce one bypass with another	Enable growth

Flanking Attack

Attack-3

Flanking attack is one against a segment that is of less importance to the leader – say below 15% of its turnover. Above that figure and the attack would be classified as frontal. You engage the enemy but not where it is strong.

TYPES	EXAMPLES
Product	Product Flanking: ▪ Porsche, Lamborghini against car leaders Toyota, Ford, GM
Client	Client Flanking: ▪ BMW aims for a higher social class.
Need	Need Flanking: ▪ Little Caesars specialize in takeaways and pitted against Pizza Hut
Location (geography, channels, time)	Geographical Flanking: ▪ Most regional banks make flanking movements against national banks. ▪ Japanese car companies launched flanking attacks when they entered Europe.

Criteria for a Sound Flanking Attack

Attack-3

Steps	Description		Rationale
I	Do not weaken the center		Since flanking requires high resources for a market share fight, it is important that the required resources be taken away from other segments without creating the risk of eroding our position there
II	Surprise		Confuses and demoralizes the competitor, making it less likely to react in time with quality
III	Speed (act at a fast pace)		Reinforces the effect of surprise, making it difficult for the competitor to react in time
IV	Enter a segment where the competitor's commitment is lower	4.1 Low sales percentage	The competitor has less to lose
		4.2 Not a core (in synergy terms) segment for the competitor	What is at stake for the competitor is only the value of the attacked segment
		4.3 Not one of the segments where the competitor originally entered	There are no image or emotional reasons for the competitor to retaliate
		4.4 Preferably attack a Dog or a Question Mark, rather than a Cash Cow or a Star	The former are less important SBUs for the competitor
V	Choose the best segment in terms of: 1. attractiveness 2. our strengths matching the segment success factors 3. synergy with our other segments		Quality of the segment

Frontal Attack

Attack-4

Frontal attack means two things: First, you enter into a competitor's segment and, second, that segment is very relevant to the competitor in terms of sales, i.e., the segment represents a large share of the competitor's total turnover. You are attacking a competitor where it is strong.

Pepsi's head on battles:

- ☐ Cocoa cola in soft drinks
- ☐ Acquired Frito-Lay in snack food market dominated by P&G and Mars
- ☐ Pizza Hut, Taco Bell and KFC (owned by Pepsi) in a battle with McD and Burger King

Failed Frontal attacks:

- ☐ International Herald Tribune (now with NY Times) failed to dislodge The Times' (NYT) position as morning news paper
- ☐ P&G's failed attempt to use Tide against Unilever's Omo



Frontal Attack: 8 Rules to Follow

Attack-4

I Only one industry segment	
II Only one competitor	
III Act upon only one competitor weakness	
IV Be sure you have advantage over competitor weakness	4.1 Your strength matches the key success factor
	4.2 Synergy and/or
	4.3 Size and/or
V Achieve surprise	
VI Speed (deploy resources at a fast pace)	Speed on top of surprise will make the competitor's reaction difficult
VII Leave an escape route to the competitor	Otherwise egos will clash
VIII Is the segment worth it?	8.1 Volume 8.2 Growth rate (future) 8.3 Profit margin (value)

Undifferentiated Circle

Attack-5

This attack's characteristics are three fold:

- (1) You enter a new industry and/or geographical area through more than one segment
- (2) Those segments are similar to those that the leaders are in
- (3) Among the different segments one tries to obtain synergy

Ivory:

- ☐ Produces both solid and liquid soaps
- ☐ Solid: social class segments and good quality health clubs, hotels and restaurants
- ☐ Liquid: average and above-average gyms, hotels, restaurants, coffee shops, and offices
- ☐ Serves all segments with minimal differentiation (same content but different packaging)
- ☐ Benefits from economies of scale in manufacturing (reaping synergies across segments)



Undifferentiated Circle: Rules for Implementing

Attack-5

I	Search for synergy		Total greater than the sum of parts
II	Differentiate intangibles (image, service) and keep tangibles (product/tech core) constant		
III	Manage the brand names according to the number and relatedness of the segments		
IV	Be aware of the risk of negative synergy	The strength of a chain is the strength of its weakest link	
V	Avoid cannibalism thru proper management of price ranges and product characteristics		
VI	Opt for segments with few specialists		
VII	Select the most attractive segments		
VIII	Select segments which are guerrillas or bypasses, not flankings		

Differentiated Circle

Attack-6

This is the most difficult attack, since one enters into a new industry and/or geographical area with the following characteristics:

- ❖ *You enter more than one segment*
- ❖ *A distinctive model is offered for each segment*
- ❖ *No attempt is made to obtain synergy among the models and segments*



Boeing:

- ☐ 737 for short range travel
- ☐ 727 for medium range travel
- ☐ 720 for continental range travel
- ☐ 707 for intercontinental range travel
- ☐ 747 largest capacity



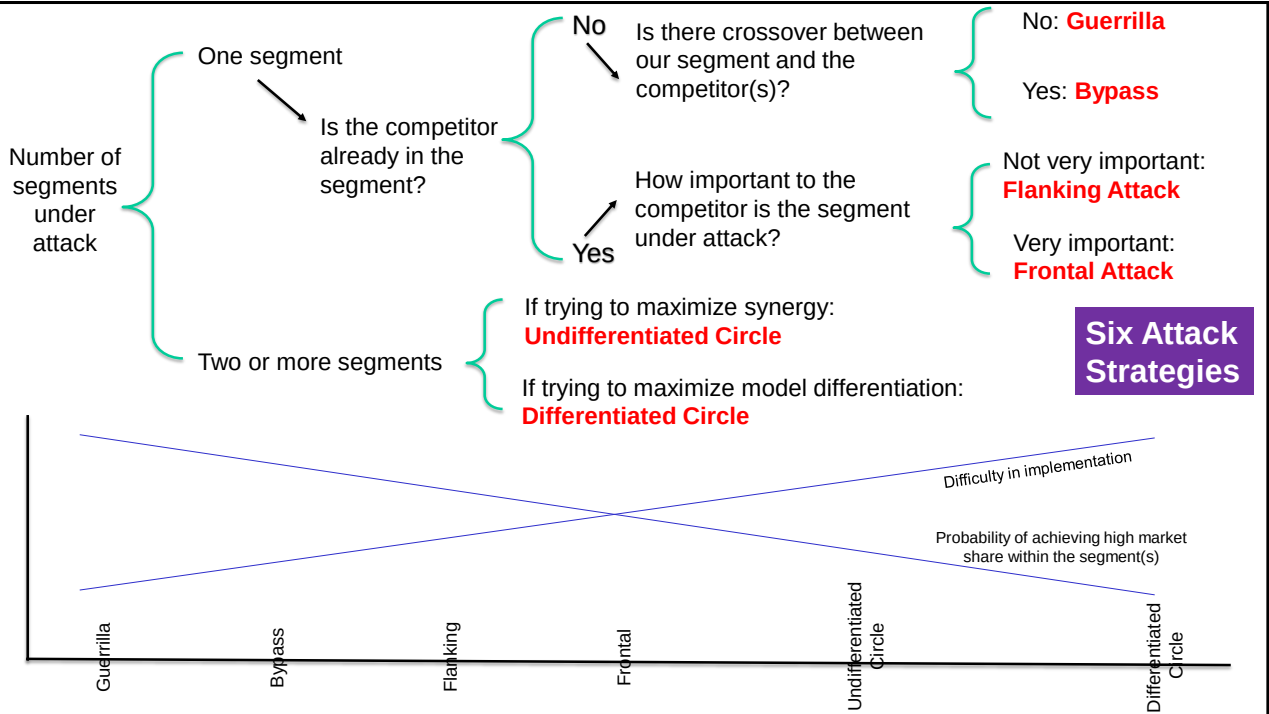
Coke:

- ☐ Classic Coke
- ☐ Diet Coke Caffeine Free
- ☐ Cherry Coke
- ☐ Cherry Zero Sugar
- ☐ Frozen Coke

Achieving a Differentiated Circle

Attack-6

I	Model and segment must overlap
II	All models' characteristics must reinforce each other
III	Force differentiation among models
IV	Ensure that your model has strengths that match the segment's success factors
V	Entry into each segment must be in strength
VI	Segment must be worthwhile in terms of ▪ Unit margin ▪ Sales Volume ▪ Growth rate



8 Defense Strategies

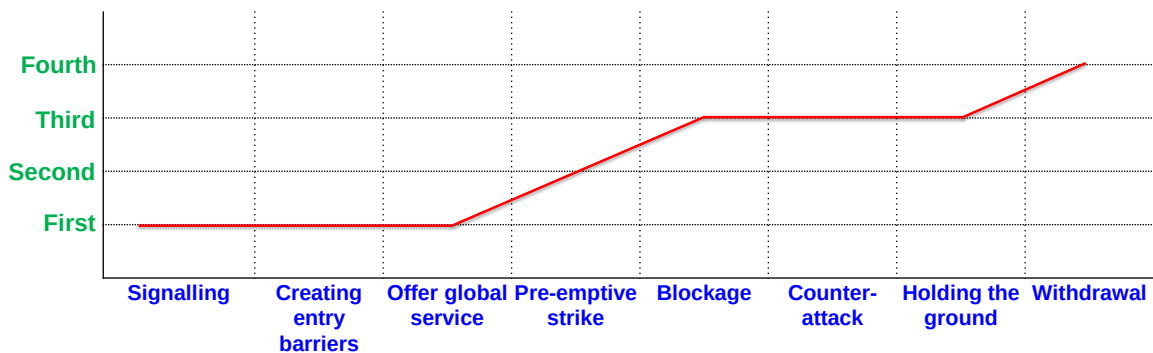
If Attack = Entry + Unprovoked, Defense is a strategy, where one of the two elements is absent

Types of Strategy	No Movement	Movement occurs (entry or exit of a segment)	
		Entry	Exit
1. Signalling	☑		
2. Creating entry barriers	☑		
3. Offer global service		☑	
4. Pre-emptive strike		☑	
5. Blockage		☑	
6. Counter-attack		☑	
7. Holding the ground	☑		
8. Withdrawal			☑

- ❑ Strategies 1, 2 and 7: the company does not enter a new market, but 'stands still'
 - Signalling and Creating Entry Barriers are the earliest possible strategies to follow
 - Global Service broadens the offering to prevent customers going elsewhere

- ❑ Strategies 3, 4, 5, 6, and 8: the company enters a new market, but does so as a reaction to a competitor
 - If these three strategies fail, the earliest possible strategy is pre-emptive strike (move before competitor)
 - Blocking can be implemented as the competitor attacks or shortly afterwards; the counter-attack comes after the competitor has moved;
 - Withdrawal should only be considered if all else fails

Defense Strategies: Sequence

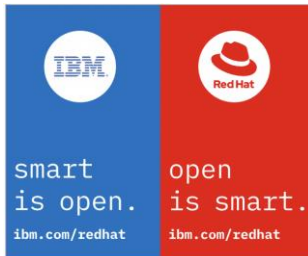


Signalling

Defense-1

Objective: To warn competitors not to enter our market and thus obtain the best of all victories – one without a fight.

- Increase factory capacity, creating the prospect in the competitor's mind of flooding market with cheaper products - a costly signalling strategy.
- Swap board members with a financial institution, and convey a message of having financial backing, signalling war ahead.



IBM's acquisition of Red Hat is a signal that we are entering the next phase of the cloud battle.



Entry Barriers

Defense-2

Objective: Creating obstacles that are difficult to overcome and thus discourage competitor's entry into our market segment.

- Signalling is usually verbalised where as entry barriers are created by action.
- There are two types of entry barrier – fixed (tangible / intangible) and mobile

Fixed Barriers (passive defense)	
Tangible	Supplier Links: Coca Cola using fructose corn sweetener as replacement for sugar and signing long-term purchase contracts with fructose suppliers, to tie up most of the supply In 1980s
Intangible	Customer Loyalty: Cray's supercomputers were built to personalized specification Image: Rolex showcasing its premium products as time-consuming and expensive

Mobile Barriers (active defense)	
New product innovations	McD's sandwiches to desserts, drinks and sauces (to spice up business)
Product replacement	Casio calculators (designed to shorten and accelerate product lifecycles)
Value chain	Service: GE's turbine division moved from selling to servicing (new revenue source). Delivery: Walmart linked its cash register data with GE lighting division (enabled fast replacement of light bulbs on its shelves).

Global Service

Defense-3

Global Service is not the same as globalization (i.e., serving worldwide market with a single model to reap efficiencies in production and marketing). Global Service refers to a company enlarging its product portfolio because the client prefers to buy from a single global supplier. To begin with, the customer defines the product more broadly than the supplier, who in turn enlarges the offering to fit customer's definition of the product.

- A company may prefer to buy all of its packaging from a single supplier: glass, plastic, metal, paper – large and small.
- A single financial institution providing traditional commercial banking (loans) as well as brokerage services, asset management, insurance and pensions.
- Turnkey contracts in basic sanitation (design, construction, equipment and plant management)
- End-to-end IT solution providers (ITO, BPO, Data Centres, Cloud services)

Rules for
Successful
Global Service

1. Customer should decide what the company includes in its enlarged portfolio (prefers single supplier to expertise provided by specialists)
2. Limits of product portfolio enlargement are set by: (a) Credibility may decline when company over-stretches; (b) Difficulty for a single firm to master sufficient product knowledge (lack of specialization outweighs the benefits of bundling)

Pre-Emptive Strike

Defense-4

Distinctive Characteristics: (1) Entry into new markets, which differentiates it from defences where no movement is involved; (2) The movement occurs before the competitor's move – so it is distinct from blocking or counter-attacks.

- Motto: Attack is the best defense
- There can be product, client, need, or location pre-emptive strikes.

CHARACTERISTICS OF A PRE-EMPTIVE STRIKE					
Number	Description				
I	Our company makes a move (entry into new segment)				
II	Before the competitor makes its move (which we know it is considering or has decided upon)				
III	The Industry can be:	Our industry	or	The segment the competitor is going to enter into	3
		The competitor's industry (if different)		One of the competitor's segments	4
				A segment close enough to competitor's so that it feels threatened	5

- ❑ ABC achieved an impressive **client pre-emptive strike** against its rivals, CBS and NBC, with daytime TV serials aimed at women.
- ❑ Doktor Pet launched **location pre-emptive strike** in terms of distribution – signed leases in 150 shopping malls in USA.
- ❑ Thomson Medical launched **need pre-emptive strike** by introducing Slim-Fast, diet powder drink, and pricing it at cost level. Later it introduced Ultra Slim-Fast directed at wealthy market that was willing to pay a higher price for a better product.

Blockage

Defense-5

When a competitor enters into a given segment, where we are not present, we decide to respond by entering that segment too, in order to protect ourselves. The blocking objective is to prevent a problem (competitor's move) from becoming an emergency.

- Blocking is different from signalling or holding the ground because there is movement
- It is different from pre-emptive strike, counter attack or withdrawal, since the movement is towards the segment the competitor has entered



Counter-Attack

Defense-6

Churchill: "To every blow struck in war there is a counter".

The adversary attacks and we in turn defend ourselves by attacking.

- Counter attack is distinct from blocking since it means entry into a different segment from that which the competitor has attacked in.
- That segment can be one in which the competitor is present or absent – as long as our presence there threatens the competitor.

Types of Counter-Attack	
Counter-attacking the competitor's original segment	BMW introduced more expensive models (Series 5, 7 and 8) challenging Mercedes head-on. Mercedes counter-attacked by introducing less expensive models (Series 190, Later C) which fought directly with BMW's original Series 3. [BMW upgraded, Mercedes downgraded.]
Counter-attacks into new segments	Japanese digital low-cost watches (Casio/Citizen/Seiko) challenged Swiss brands Longines, Tissot and Rado. Swiss counter-attack was in the form of quartz tech and fashion (Swatch)
Counter-attacking in two different industries	IBM's retaliation to Xerox's entry into mainframe market was by launching photocopying machines. Xerox's faced all-out attack on two fronts: XDS computer division and its photocopying machines.

Holding the Ground

Defense-7

We stay put in our present segments, a competitor enters them and we fight it out by holding the ground in our present segments.

- Signalling, entry barriers and global service are meant to dissuade competitors.
- Pre-emptive strike, blockage and counter-attack involve movement – entry into segments other than those what we are presently in.
- Holding the ground in about tactics, which will decide the outcome of the battle.
- Functional areas of the business provide the edge: from Marketing to Finance; HR to operations

Company	Competition	Holding the Ground
Nippon Steel	Low cost imports	Cost Reduction: energy-efficient and labor saving facilities
Kodak	Fuji (film)	Marketing: price cuts and a advt campaign to encourage customers ask for Kodak paper
Xerox	Japanese firms (photocopiers)	Finance: leasing model (rather than selling machines)

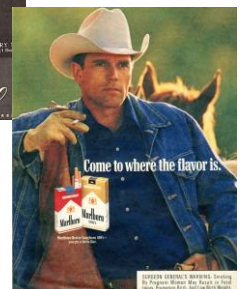
Withdrawal

Defense-8

Peter Drucker: "The essence of strategy is to apply scarce resources to the greatest opportunities." Withdrawal is a defense with negative movement. It increases market distance from from a competitor, but is not the same as giving up – a sacrifice rather than surrender.

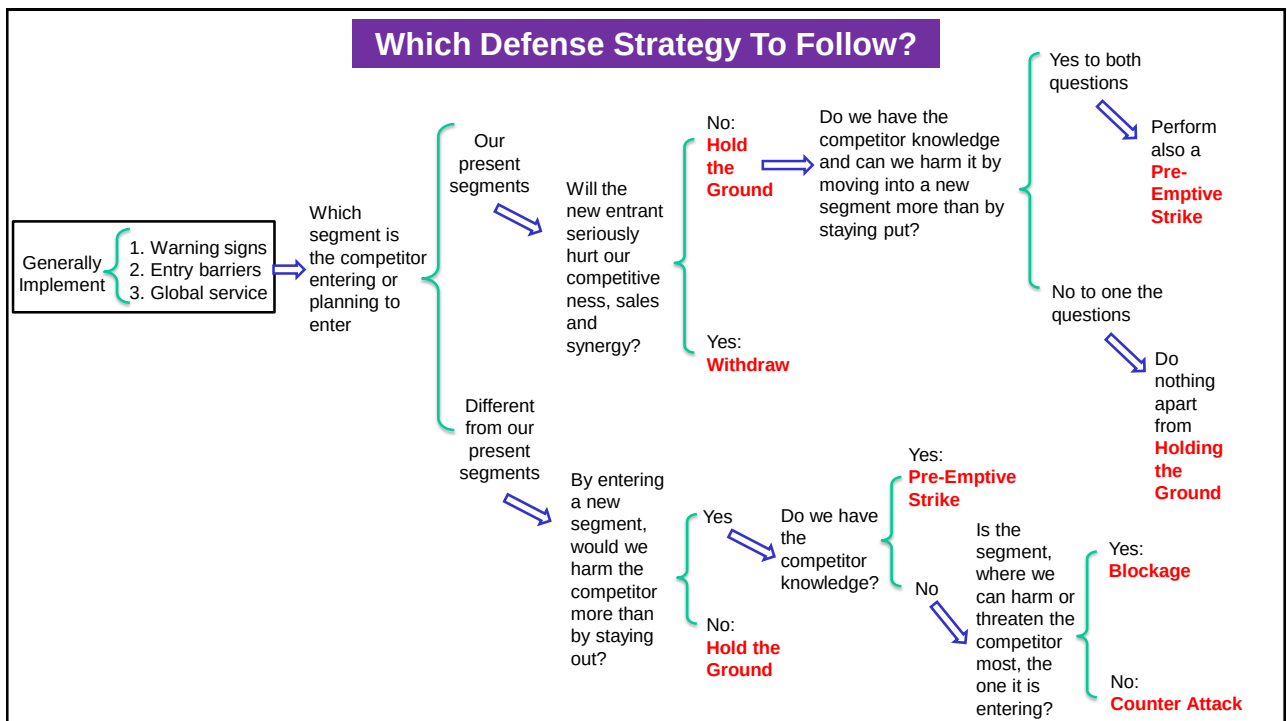
- Withdrawal is a strategy by which we accept losing a battle so that we still have a chance to win the war, instead of wasting time and resources in a hopeless situation.

Company	Withdrawal
Philip Morris	Marlboro, cigarette for women, introduced in 1937. After two decades, the brand had less than 0.1% of the market. It was successfully rebranded – sex change as masculine virile cowboy
Bell Sports	Manufactured both motorcycle and bicycle helmets – never achieved leading position in both segments. Dropped motorcycle helmets to focus on bicycle segment (50% market share in mid-90s). Later re-entered motorcycle segment (acquired by Vista Outdoor)



Eight Defense Strategies

WHEN (relative to the timing of the competitor's attack) ⇔ WHERE (relative to the competitor's segment) ↓	Before	At the Same Time	After
Initial Competitor Segment	3 Global Service		6 Counter Attack
Segment the Competitor Enters	1 Signalling 2 Creating Entry Barriers (fixed or mobile)	5 Blockage	7 Hold the Ground 8 Withdrawal
Other Segments (none of the above)	3 Global Service		6 Counter Attack



Organisational Alliances

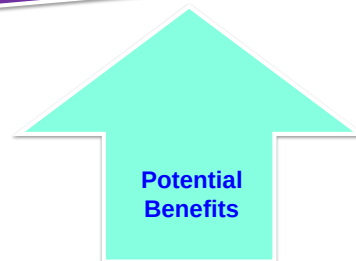
Durability ⇨ Impact ↓	Low	High
Low		13 Merger 12 Acquisition 11 Exchange of minority holdings 10 Joint venture 9 Licensing 8 Franchise
High		7 Commercial agreement 6 Vendor/buyer agreement 5 Dual marketing 4 Private brand agreement 3 Consortiums 2 Exchange of board members 1 Protocols (agreements on std characteristics of products)



- 1 First move advantage
- 2 Moving rapidly into enlarged market
- 3 Implementing a given strategy at a faster pace
- 4 Greater efficiency (due to share, scale and experience benefits)
- 5 Entry into a more attractive market
- 6 New strategy
- 7 High level of synergy



- 1 Lack of synergy
- 2 Too costly (premium price, royalties...)
- 3 Implementation failure
- 4 Wrong reasons (status...)
- 5 Cultural differences



Rule of Thumb: In order for an alliance to succeed, potential benefits must outweigh the costs and risks by at least 25%

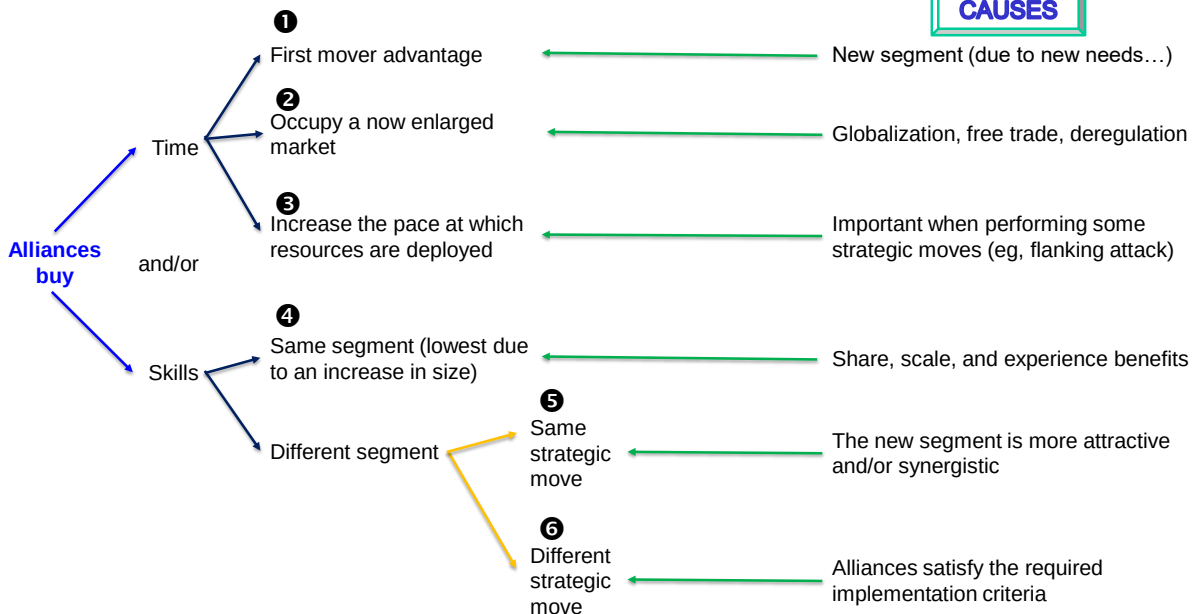
Organisational Alliances: What do we have to offer?

If a company wishes to speed up its entry into a given geographical area

And it has strengths in: ⇒ Then it should opt for: ⇓	Manufacturing	Brand/Image	Marketing	Local market specifics	Financial resources
1 Acquisition	Yes	Yes	Yes	Yes	Yes
2 Franchise	Yes	Yes	Yes	Yes (little relevance)	No
3 Joint venture	Yes	Yes	Yes	No	
4 Commercial agreement	Yes	Yes	No		
5 Private label arrangement	Yes	No			

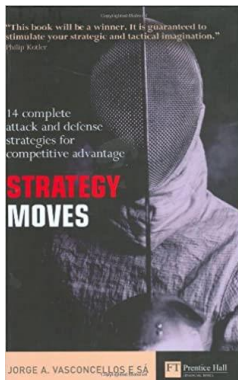
Role of Alliances

CAUSES



Attack and Defense: One Step Upgrade by Alliance

Level of Difficulty	Attack	Defense
Lowest	Guerrilla ↓	Withdrawal ↓
Low	Bypass ↓	Holding the ground ↓
Average-Low	Flanking move ↓	Signalling ↓
Average-High	Frontal attack ↓	Creating entry barriers ↓
High	Undifferentiated circle ↓	Offering global service ↓
Highest	Differentiated circle	Blockage Counter-attack Pre-emptive strike



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